Overhead Budget FY'27

Budget by expense group, line-item movements and monthly and quarterly phasing. Sample company, illustrative figures.

A note on remarks. The source workbook has no remarks or comments on purpose. In my previous job the explanations behind variances were internal to that employer, so I have left them out rather than risk carrying anything over. This write-up therefore sticks to what the numbers show and does not claim reasons for the movements.

The short version

Overheads excluding credit-loss provisions are budgeted at 924 for FY'27, against a FY'26 projection of 932: 8 lower (-0.9%). Revenue is planned to grow 18%, from 11,000 to 13,000, so overheads fall from 8.8% to 7.3% of revenue once the ECL provision is included, and from 24% to 19% of contribution. Fixed costs come down by 14 while variable costs go up by 6.

Amounts are in thousands. The FY'26 projection is the nine-month actual to December plus the forecast for January to March. The workbook's budget tab has no separate ECL line, so the ECL figure comes from the summary tab.

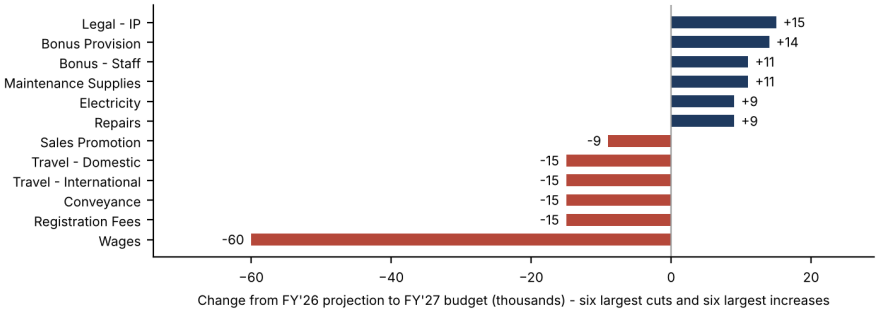
Budget by expense group

Expense group	FY'25 actual	FY'26 budget	FY'26 projection	FY'27 budget	vs projection	%
Advertisement and Sales Promotion	41	50	63	61	-2	-3.2%
Communication Costs	20	30	38	30	-8	-21.1%
ECL/Bad Debts	60	0	0	0	+0	-
Insurance	24	30	30	33	+3	+10.0%
Legal & Professional Fees	187	210	130	140	+10	+7.7%
One Time Costs	6	0	0	0	+0	-
Operating & Other Expenses	56	170	134	200	+66	+49.3%
Personnel cost	311	350	457	440	-17	-3.7%
Product Registration	10	30	20	5	-15	-75.0%
Travel & Conveyance	13	38	60	15	-45	-75.0%
Total (as on the budget tab)	**728**	**908**	**932**	**924**	**-8**	**-0.9%**

Where the budget moves

Operating and other expenses are the biggest increase, from 134 to 200 (+49%), and every line in that group is budgeted at the same 20 despite very different actuals this year. Travel (60 to 15) and product registration (20 to 5) are both cut by 75%, which together removes 60. Legal and professional fees rise 10 (+8%), the main driver being the IP line, which goes from 35 to 50.

Personnel cost is the largest group at 440 and is 17 lower than projected. Within it, wages drop from 110 to 50 while the new lines (gratuity, provident fund and second bonus and salary lines) have no history to compare with, so the group is worth a second look before the budget is final.



Monthly and quarterly phasing

The Budget-27 tab spreads each annual budget line over twelve months, April to March, and groups the months into four quarters. The split is straight-line: every month carries one-twelfth of the annual figure, so the total is 77.0 a month and 231.0 in each quarter. That keeps the model simple, but it also means the quarterly view shows no seasonality. Activity-driven lines such as travel, promotions and registration would normally be phased by when the work happens.

Expense group	Q1	Q2	Q3	Q4	FY'27
Advertisement and Sales Promotion	15.2	15.2	15.2	15.2	61.0
Communication Costs	7.5	7.5	7.5	7.5	30.0
Insurance	8.2	8.2	8.2	8.2	33.0
Legal & Professional Fees	35.0	35.0	35.0	35.0	140.0
Operating & Other Expenses	50.0	50.0	50.0	50.0	200.0
Personnel cost	110.0	110.0	110.0	110.0	440.0
Product Registration	1.3	1.3	1.3	1.3	5.0
Travel & Conveyance	3.8	3.8	3.8	3.8	15.0
Total	**231.0**	**231.0**	**231.0**	**231.0**	**924.0**

Group	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	FY'27
Advertising & promo	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	61.0
Communication	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	30.0
Insurance	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	33.0
Legal & prof.	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	140.0
Operating & other	16.7	16.7	16.7	16.7	16.7	16.7	16.7	16.7	16.7	16.7	16.7	16.7	200.0
Personnel	36.7	36.7	36.7	36.7	36.7	36.7	36.7	36.7	36.7	36.7	36.7	36.7	440.0
Product reg.	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	5.0
Travel	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	15.0
Total	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**77.0**	**924.0**

Months are Apr to Mar, with Q1 = Apr-Jun, Q2 = Jul-Sep, Q3 = Oct-Dec and Q4 = Jan-Mar. Amounts in thousands.

What it means for the P&L

Million	FY'27 budget	FY'26 projection	FY'26 budget	FY'25 actual
Sales	13.00	12.00	11.00	9.00
Contribution	5.00	4.00	3.50	3.00
Overhead	0.92	0.93	0.91	0.79
EBITDA	**4.08**	**3.07**	**2.59**	**2.21**
EBITDA % of revenue	31%	26%	24%	25%

EBITDA moves from 3.07 million to 4.08 million. Contribution grows by 1.00 million while overheads barely change, so the improvement rests on the revenue plan rather than on cost savings.